

Dual Agency

Dual agency means that a real estate brokerage firm, and all the brokers and agents for that firm, can act in a fiduciary capacity for both the buyer and seller in the same transaction. Dual agents are required to provide all fiduciary duties to each party, except for the duty of undivided loyalty. Loyalty: yes. Undivided loyalty: no. Because both sides are represented, undivided loyalty is a legal impossibility.

When you act in a dual agency role, confidential information about price, terms, motivation for pursuing a transaction, or previous offers made must remain confidential unless one party instructs you in writing to disclose specific information. Anything that is disclosed to one party that could be a disadvantage to the other is prohibited in dual agency.

Dual agents may not advocate for one party to the detriment of another. Dual agents owe to both the seller and buyer fiduciary duties that include utmost care, integrity, honesty, and confidentiality.

Types of Dual Agency

Dual agency can occur in a few different ways. A state may have laws that define how dual agency may be used, or it may prohibit dual agency completely.

- Single-licensed dual agency exists when one licensee represents both the buyer and seller in a transaction. In that case, the licensee is the dual agent, and his broker is also a dual agent.
- Dual licensed dual agency exists when two agents from the same brokerage represent the buyer and seller in a transaction. For example, Rory and Dawn both work for ABC brokerage. Rory is a listing agent for a property. Dawn's client makes an offer on that property. Because Rory and Dawn both work for the same broker, this is dual agency (sometimes called in-house agency). Their broker is also filling the role of dual agent in the transaction.
- **Designated agency** (also called appointed agency) is one way that states allow individual agents to avoid dual agency. The broker-in-charge designates two of the brokerage's agents: one to represent the buyer and one to represent the seller. In such a scenario, the two agents are designated agents, and the broker is a dual agent in the transaction. The two designated agents and the broker must generally follow rules that attempt to protect the clients' interests. This allows each client to have the benefit of single agency, but the brokerage earns compensation from both sides in the transaction.

Dual agency involves an inherent conflict of interest. You may only engage in dual agency if:

- State law allows it, and you follow the state law
- Your brokerage specifically allows it according to the written rules your broker has established.
- Both the buyer and seller consent to you acting as a dual agent.

Use caution if you decide to engage in a dual agency relationship. You owe the same fiduciary duties to both the buyer and seller. Remaining loyal to both parties and avoiding the disclosure of confidential information can be one of the most challenging tasks licensees face.

Prohibited Disclosures Under Dual Agency

- Disclosing to a buyer that the seller will accept an amount other than the asking or listed price.
- Disclosing to a seller that the buyer can pay a price other than or greater than the price submitted in a written offer to the seller.
- Disclosing the motivation of either the buyer or the seller for selling or buying the property.
- Disclosing to a buyer or seller that opposing parties will agree to financing terms other than those specified in their respective offering.